provide credit facilities to their target groups at concessional rates of interest for various income-generating activities.

Comments of the Economic Survey 2012-13

The latest *Economic Survey 2012-13* has given its views on the Challenges & Prospects of Human Development in India in the following way –

- The global recession of 2008 and the recent global slowdown have *squeezed* the fiscal space for most countries and consequently the purse for social sector spending. However, India's social sector spending has seen a continuous increase even during these crisis-ridden years. India needs to balance the dual imperatives of growth and inclusion. This can happen only if growth leads to higher and better jobs. While the government's flagship programme, the MGNREGA, is intended to fill this ***'job deficit'*** in the interregnum, India has to focus on *longer-term inclusive growth strategies*.
- The $ 1 trillion Infrastructure opportunity is one such example. Even in the interregnum, schemes like the MGNREGA should move towards more production – and growth generating activities. The draft Twelfth Five Year Plan has emphasized faster, more inclusive, and sustainable growth. A special effort is needed in two areas of human development in India - health and education. These will help translate our *demographic advantage* into a real dividend *(see chapter 21)*. There is also need to address 'delivery-related' issues in a *mission mode* to ensure optimum utilization of funds and to convert ***outlays into outcomes***. For this, 'good governance' is critical.
- Coming to expenditure management, in the last few years, public expenditure on social rogrammes has increased dramatically from Rs. 9.10 lakh crore in the *Tenth Plan* period to Rs. 22.69 lakh crore during the *Eleventh Plan* period with a step up of over **149** per cent. In the Eleventh Plan period, nearly Rs. 7 lakh crore has been spent on the ***15 major flagship programmes*** – this sharp increase is 'unprecedented'.